TOPIC 3 · ECONOMIC ISSUES

Source: CommBank (CBA newsroom)
Wednesday 11 November 2026

Wage growth cools to its slowest pace this year

> CommBank's monthly measure of wage growth slowed to **3.1% (annualised)** in October, down from 3.5% in August. CBA says there is no sign yet that higher inflation is feeding into a **wage–price spiral**.

WHAT HAPPENED

- Monthly wage growth eased to **3.1%** annualised, below the 3.2–3.3% pace held through January–July. **Annual** wage growth was **3.2%**.
- CBA's economist describes the 4.75% Fair Work award rise as a 'short and sharp' boost, not an ongoing driver.
- **Jobs:** about 18,000 added in October, slightly below the pace needed to stop unemployment rising. Unemployment was **4.7%** in September. CBA expects it to peak at **5.1%** by the end of 2027.
- This is **CBA account data**, not the ABS Wage Price Index, so treat it as an early signal.

Nominal wages: pay in dollars
Real wages: nominal wage growth minus inflation (≈ 3.2% − 4.3% < 0 now)
Wage–price spiral: higher prices lead to higher wages, which lead to higher prices

KEY NUMBERS

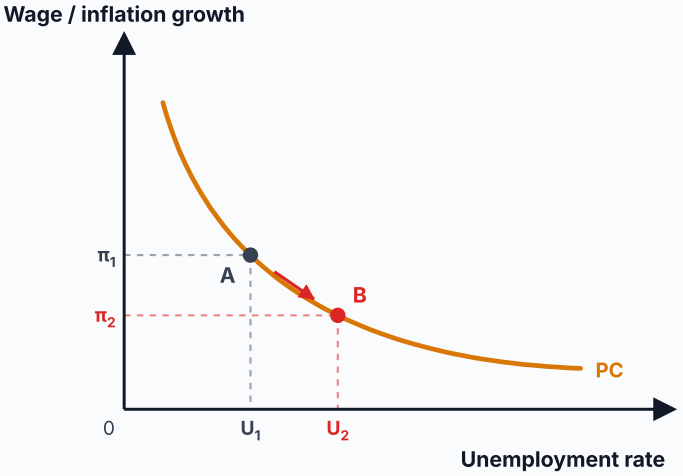
3.1%
Monthly wage growth, annualised (Aug: 3.5%)

3.2%
Annual wage growth, October

4.7%
Unemployment rate, September

5.1%
CBA's forecast peak unemployment, end-2027

DIAGRAM — A softer labour market takes heat out of wages



The short-run Phillips curve shows a trade-off between unemployment and wage and price growth.

As the labour market softens, unemployment rises from U_1 **to** U_2 and wage and price pressure eases from π_1 **to** π_2: a move along the curve from **A to B**.

This is what the RBA's rate rises aim for, but the cost is more people out of work.

Exam angle: with inflation at 4.3% and wages growing about 3.2%, **real wages are falling**, which squeezes household spending and affects the distribution of income.

BAR CHART — Annual wage growth by state, October



Source: CommBank. Victoria has had the slowest wage growth for five months. Bars scaled to 4.2%.

SYLLABUS LINK

Topic 3 – the labour market: wages, unemployment and inflation; distribution of income (real wages). Topic 4 – labour market policies.

TRY THIS

Distinguish between nominal and real wage growth, and explain what it means for households when inflation is 4.3%.
(3 MARKS)

CommBank – Monthly wage growth slows to weakest pace seen this year: https://www.commbank.com.au/articles/newsroom/2026/11/monthly-wage-growth-slows-october.html

Diagrams are illustrative, not to scale